ZOMATO · PRODUCT CASE STUDY

Smart Value

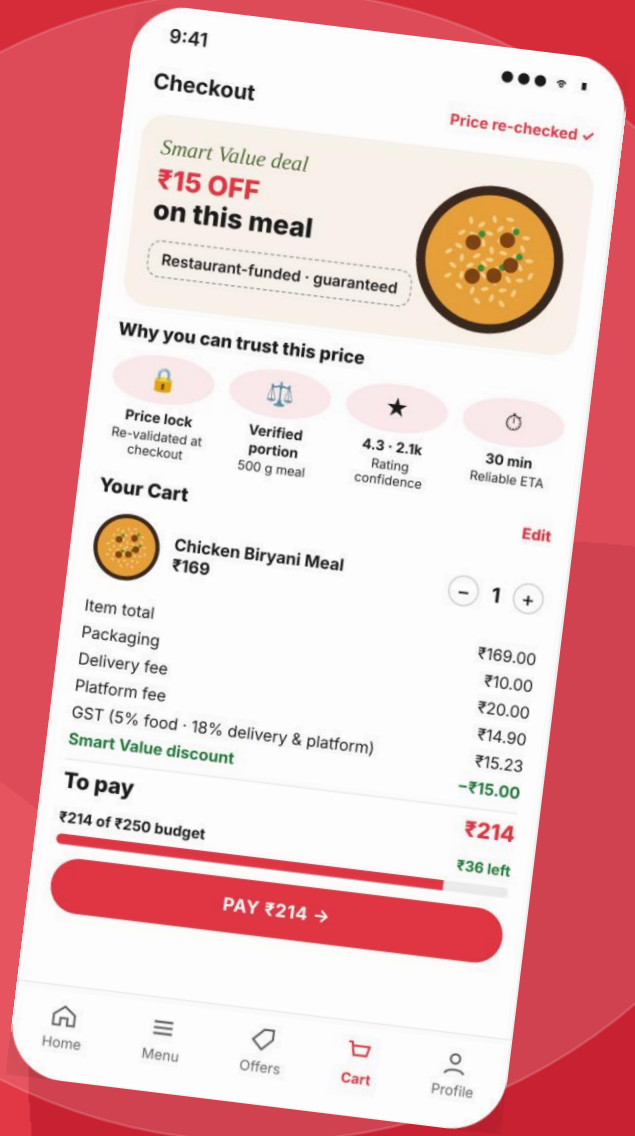
Helping customers find the best meal within a ₹250 total budget

Cheapest meal ≠ ***best-value meal***

₹250
all-in budget
fees & GST included

Value
ranked, not cheapest
rating, ETA, preferences

Upfront
pricing
Confirmed at checkout



ANOOP PATEL

Problem statement

Customers know their budget, but the app makes them work for it

THE PROBLEM

A customer opens Zomato at lunch with ₹250 in mind. They don't want the cheapest food; they want the best meal that fits.

Today they open several menus, add an item, and only at the cart discover delivery, packaging, platform fee and GST. A ₹169 biryani becomes ₹214; a ₹229 biryani becomes ₹294 and blows the budget. They go back, compare again, or give up.

WHY IT MATTERS TO ZOMATO

979 mn	food orders in FY26, so even a small conversion gain is large
₹14.90	platform fee per order (Mar 2026) + 18% GST on delivery since Sep 2025
₹250	≈ two-thirds of the ₹388 average order: a large value-seeking band

HOW MIGHT WE help customers discover and order the best-value meal within a strict ₹250 total spend, while keeping customers satisfied, restaurants participating and unit economics healthy?

Customer goal

Best meal within budget, no surprises

Business goal

More delivered orders, without subsidy

Out of scope

Groceries, dine-out, premium users

Product approach and validation plan

1 Discover

Understand the pain points

- Order & funnel data by spend band
- Customer interviews
- 5 Whys root-cause

2 Define

Pick who to solve for

- Segment budget customers
- Build personas & JTBD
- Prioritise problems

3 Design

Shape the experience

- Map current vs future journey
- Wireframes for 3 key screens
- Pricing & ranking logic

4 Decide

Choose what to build

- RICE scoring
- MoSCoW MVP scope
- Trade-off decisions

5 Measure

Prove it works

- North Star & metric tree
- A/B test vs current app
- Guardrails: price trust, profit

Hypotheses to be validated

H1	Comparing total payable price is hard
H2	Customers want a strict budget cap
H3	They care about quality, not just price
H4	Value ranking cuts decision effort
H5	Smart Value adds delivered orders

PM concepts used in this case study

5 Whys · Segmentation · Personas · JTBD · Journey map · Wireframes

RICE · MoSCoW · Trade-offs · North Star · A/B testing · Unit economics

Deep dive into the problem

The real problem: hidden total cost and too much effort

SAME LUNCH, TWO OUTCOMES

169	+10	+20	+15	+15	−15	₹214
Menu	Packaging	Delivery	Platform fee	GST	Offer	You pay

Chicken Biryani ₹169 → ₹214 fits, ₹36 to spare. **Mutton Biryani ₹229 → ₹294** ₹44 over, found out only at the cart.

Problem	What the customer feels	What Zomato loses
Total price is hard to compare	Effort, uncertainty	Checkout drop-off
Surprise charges at cart	Frustration, distrust	Complaints, lower conversion
Cheapest isn't good value	Disappointing meal	Lower repeat orders
Portion size unclear	Still hungry	Refunds
Too many choices	Decision fatigue	Abandoned sessions

Top two (highest frequency × severity): total price comparison and surprise charges.

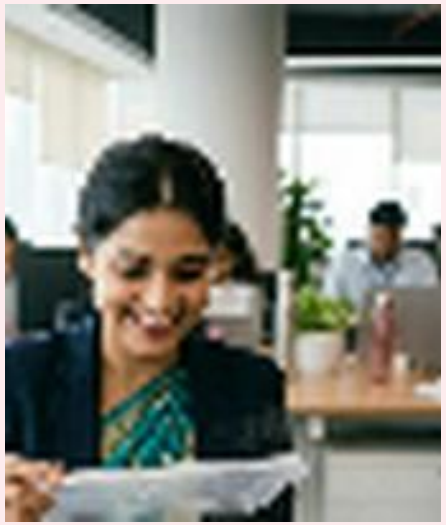
Root cause: 5 Whys

1. Menu price isn't the final payable amount
2. Fees, taxes and offers vary by restaurant, address and user
3. So the customer must compare all of it across menus
4. Because discovery isn't organised around a total budget
5. It's built for choosing dishes, not for a spending limit

Root cause
No reliable way to find meals by a hard total-spend limit, compared on value.

Primary persona

Archana, the Budget Guardian: our first customer to solve for



Archana, 26

IT analyst · Sion

Budget	₹250, hard limit
Orders	Lunch, 3-4× a week
Uses	Zomato on mobile, UPI
Decides in	Her short lunch break

Goals

- A filling, tasty meal for ₹250 all-in
- Decide fast and get back to work
- Never get surprised at checkout

Pain points

- Menu price ≠ what she finally pays
- Opens 3-4 menus to compare
- Fees push 'cheap' meals over budget
- Cheapest options often disappoint

Behaviours

- Sorts by price, then checks ratings
- Checks the cart total before ordering
- Picks offers only if they're certain

What she needs from us

- Set ₹250 once and trust it
- See the final price upfront
- A clear 'why this meal' reason

JTBD *"When I order lunch with a ₹250 limit, help me find a satisfying meal within that amount so I don't have to compare restaurants or worry about surprise charges."*

Secondary personas & segments

Two more personas shape ranking, and why we start with Archana



Vipul, 24

Value Maximiser · College student

"If I'm spending ₹250, I want the most food and taste for it."

Goals

Most food and taste per rupee; good ratings

Pain points

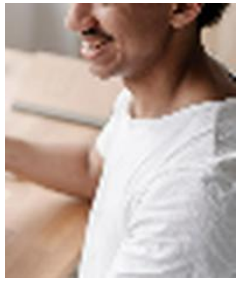
Can't judge portions; cheap meals disappoint

Behaviour

Budget ~₹250, stretches a little for clear value

Needs

Verified portions and a 'best value' pick



Vikram, 29

Convenience Optimiser · Manager at IDFC Bank

"I have 30 minutes. Get me something decent that arrives on time."

Goals

Decent meal that arrives within his break

Pain points

Late or cancelled orders; long ETAs

Behaviour

Budget ~₹250, trades a little value for speed

Needs

Reliable ETA counted in the ranking

Segment prioritisation

Strict Budget — Start here

Clearest hard limit; easy to build & measure

Value Seekers — Phase 2

Served by value ranking

Convenience — Phase 2

Served by ETA in ranking

Discount Hunters — Not a target

Would push us into subsidies

Premium — Not a target

Not budget-sensitive

User journey

Archana's lunch order: from 'compare and hope' to 'set and trust'

TODAY

Effortful
Opens app
Searches 'lunch'

Effortful
Opens 3-4 menus
Biryani, thali, bowls

Effortful
Compares prices
₹169, ₹179, ₹229…

Frustrated
Adds to cart
Sees fees & GST

Frustrated
Over budget
₹229 meal = ₹294

Frustrated
Restarts or quits
Lost order, less trust

WITH SMART VALUE

Easy
Sets ₹250
Strict cap, 'best value'

Easy
Sees only meals that fit
Final price on every card

Confident
Reads why it's picked
Rating confidence, ETA, preferences

Confident
Checks out
Price re-checked, no surprise

Confident
Repeats next time
Budget remembered

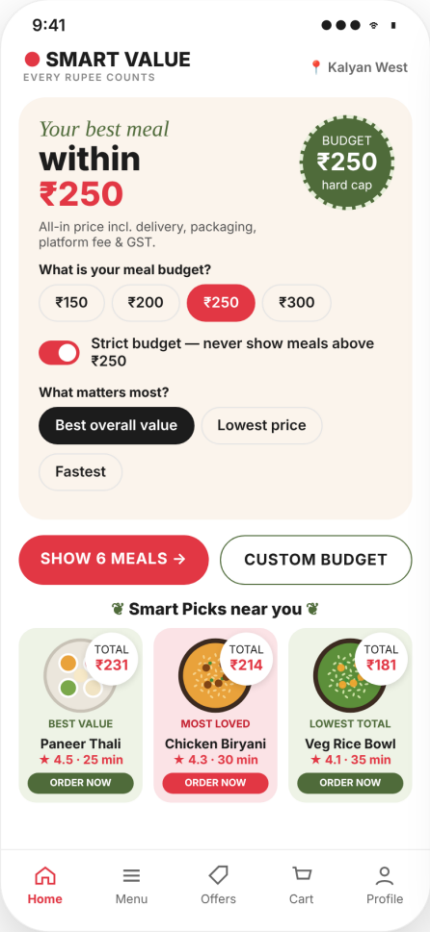
Moment of truth
The cart total. Today it breaks trust; Smart Value makes it a confirmation.

Effort removed
No menu-hopping or mental maths; the app does the budget check.

Design target
Decide in under 2 minutes, with zero price surprises at checkout.

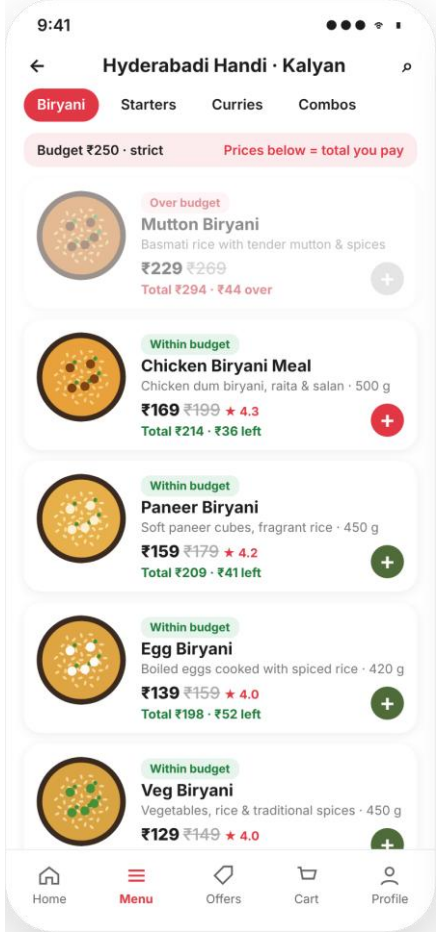
Wireframes

Set the budget, see true totals, pay exactly what was promised



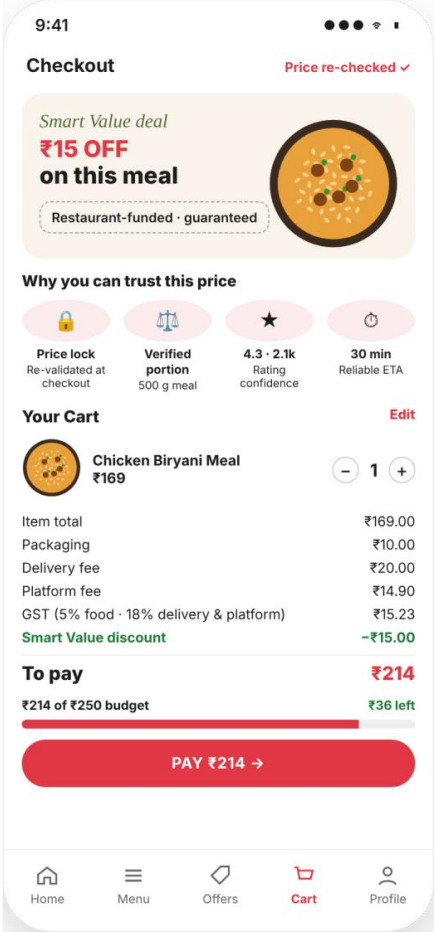
1 · Budget first

- ₹250 preselected, strict cap on
- 'What matters most' sets the ranking
- Smart Picks show all-in prices



2 · True totals on menu

- Every dish shows final price and budget left
- Over-budget items greyed out with the reason
- Ratings, review count & ETA shown



3 · Trusted checkout

- Price re-checked before payment
- Full bill breakdown, guaranteed offer only
- Budget bar: ₹214 of ₹250

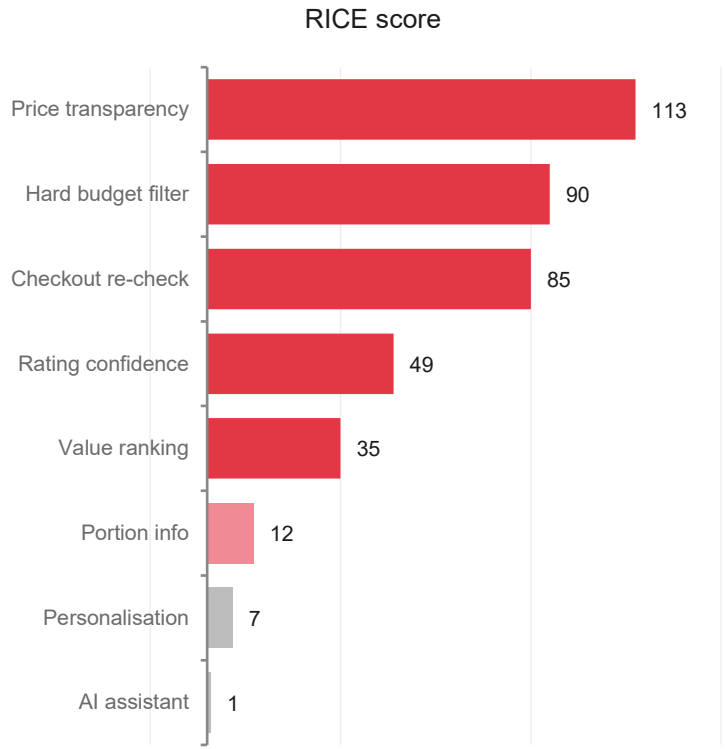
Entry points: 'Best meals under ₹250' home banner · budget filter in search · lunch-hour nudge. **Edge case:** nothing fits → say so and offer to adjust budget, never break the cap.

Prioritisation: RICE framework

RICE tells us what earns a place in the MVP

RICE score = Reach × Impact × Confidence ÷ Effort Reach = users/quarter ('000) · Impact 3 massive, 2 high, 1 medium · Effort = person-months

Feature	Reach	Impact	Confidence	Effort	RICE score	Decision
Price transparency (final price upfront)	100	2.5	90%	2	**112.5**	**Must (MVP)**
Hard budget filter (strict ₹250 cap)	100	3	90%	3	**90.0**	**Must (MVP)**
Checkout price re-check	100	2	85%	2	**85.0**	**Must (MVP)**
Rating confidence (review-adjusted)	70	1.5	70%	1.5	**49.0**	**Must (MVP)**
Value ranking (weighted score)	70	2.5	80%	4	**35.0**	**Must (MVP)**
Verified portion info	50	1.5	65%	4	**12.2**	**Should (V2)**
Personalised ranking	40	2	50%	6	**6.7**	**Could (V3)**
AI meal assistant	20	1	40%	8	**1.0**	**Won't (for now)**



Build vs buy: reuse Zomato's pricing, offers, inventory and ETA services. Build only the eligibility + ranking layer: one source of truth for price.

Trade-offs

The key calls we made, and what we gave up

Decision	Option A	Option B	Our call	Why
Strict cap vs flexible budget	Never show >₹250	Allow ‘slightly over’	**Strict cap**	Trust is the promise; flexible mode tested later for Value Maximisers
Cheapest-first vs value ranking	Sort by price	Weighted value score	**Value ranking**	Cheapest often disappoints → lower repeat; cheapest still one tap away
Discounts vs economics	Platform-funded offers	Restaurant-funded only	**Restaurant-funded**	Low-ticket orders can't absorb subsidy without losing money
Uncertain coupons	Count them to show more meals	Count only guaranteed offers	**Guaranteed only**	Fewer options, but price never jumps at checkout
Full breakdown vs simple price	Every fee itemised	One final number	**Final price + tap to expand**	Simple by default, transparent on demand
Personalise now vs later	ML ranking in MVP	Rules-based weights	**Rules first**	Ship in 12 weeks, learn real weights from the A/B test
Relevance vs restaurant fairness	Always show the top few	Spread exposure	**Exposure caps**	Keeps more restaurants participating and data diverse

Success metrics

Measure delivered orders and trust, not just clicks

NORTH STAR METRIC

Incremental delivered Smart Value orders per eligible customer per week

Discovery

- Adoption rate
- Click-through on picks
- Time to decide

Conversion

- Add-to-cart rate
- Checkout conversion
- Delivered orders

Retention

- 30-day repeat use
- Order frequency

Economics

- Contribution per user
- Discount spend

Guardrails: stop if these break

- Price-discrepancy rate: shown ≤ ₹250, charged more
- Contribution per customer vs control
- Refunds & cancellations
- ETA accuracy
- Share of exposure going to top restaurants

A/B test: controlled pilot

- 50:50 split by customer, current app vs Smart Value
- ~50,000 customers per group, at least 2 weeks
- Scale: orders rise and guardrails hold
- Iterate: engagement rises but orders don't
- Stop: price errors or profit loss

Final solution

Smart Value MVP: The best eligible meal within ₹250, with checkout price revalidation

1 Budget-first entry

- 'Best meals under ₹250' banner on home + budget filter in search
- ₹250 preselected (₹150-₹500 chips), strict cap ON by default
- Pick priority: best value · lowest price · fastest

2 Eligibility engine

- Show a meal only if final payable ≤ budget
- Final payable = food + packaging + delivery + platform fee + GST − guaranteed offer
- Restaurant open, item in stock, price fresh

3 Value ranking

- Score: 40% cost efficiency · 30% review-adjusted rating · 20% ETA reliability · 10% preference relevance
- Tags: Best value · Most loved · Lowest total
- Exposure cap so no restaurant dominates

4 Meal card

- Final price and '₹X left in budget'
- Rating with review count, ETA
- One-line 'why this meal'

5 Checkout price revalidation

- Price re-checked before payment
- If the payable amount changes or exceeds ₹250, explain the difference and request customer confirmation before payment, or offer eligible alternatives.
- Never charge above the cap silently

6 Business rules

- Restaurant-funded 'Smart Value deals' only, no platform subsidy
- Sponsored slots labelled and must pass eligibility
- Nothing fits → say so, suggest ₹300 or another cuisine

MVP · 12 weeks

Features 1-6 above, built on existing pricing & ETA services

Go / no-go

A/B test: delivered orders ↑, price-discrepancy < 0.5%, contribution ≥ current app

V2 → V3

Flexible budget & combos, verified portions → personalisation, ₹150/₹400 budgets